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Customer Churn *Analysis*

Data Report

Overview

Analysis of the subscription-based service to gain insight into customer churn over the last three years and understand the potential factors affecting customer retention

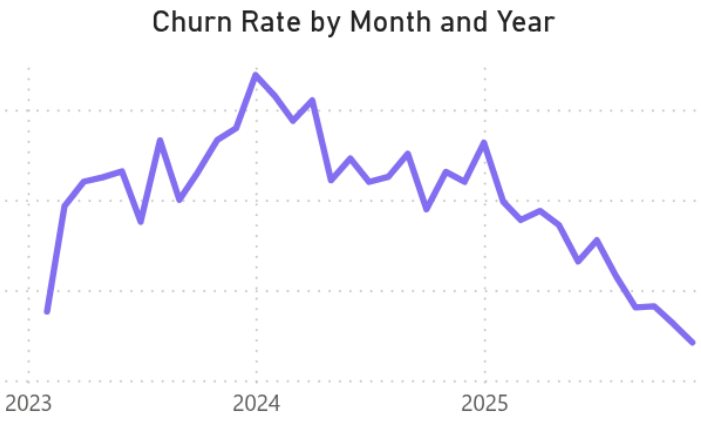
Within the data, I wanted to explore:

- How many customers have churned across the total 3 year period?
- How many customers have churned per month?
- Is there a correlation between weekly usage affect customer retention?
- Does the number of support tickets impact churn rate?
- How does the churn rate change across subscription type?
- How does duration as a customer impact churn rate, and when does churn typically happen?

Key Insights

Since June 2025, Customer Churn has been consistently falling, with the churn rate in 2025 falling from 5.27% to 0.84%.

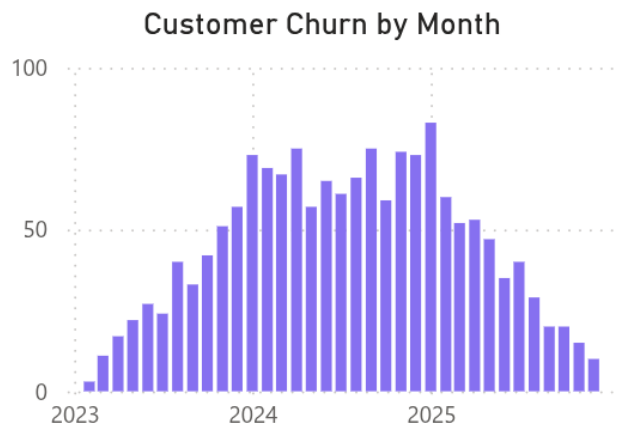
As of December 2025, churn is at the lowest rate across the 3 year period.



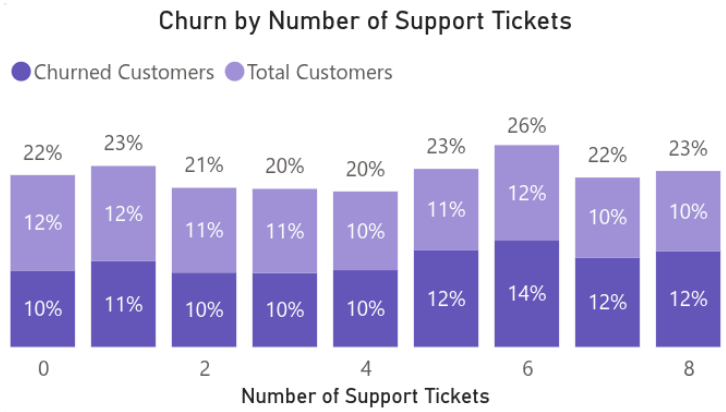
The highest churn occurred in January 2025, with a total of 83 customers leaving, whilst the lowest churn figures occurred in February 2025.

In 2023, churn rose overall, with a high of 57 churned customers in December. Figures in 2024 remained high, both starting and ending the year with 73 churned customers in a month.

Positively, 2025 shows a dramatic decline in churn and higher levels of retention with a large fall in churn, dropping almost consistently each month



The data relating to support tickets suggests a link between the number of support tickets and customer retention. The most common number of support tickets is 6 (26%) and the data shows that customers who have issued more than 6 support tickets show a higher likelihood of leaving (14%).



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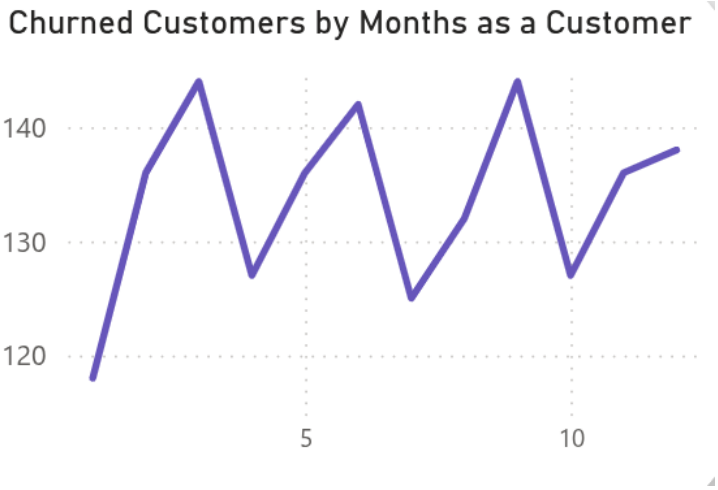
Overall, churn happens the most in months 3, 6 and 9 but, in 2025, Churn occurred the most in month 11. In the Basic plan, most churn occurs in month 6, whilst month 9 is highest for Standard. In the Premium subscription, overall, more customers leave in month 2 than any other month.

However, when narrowing this down to 2025 alone, all plans show the highest churn in months 11 or 12, meaning customers are choosing to remain in their subscription for longer.



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Across the three year period, the Premium plan has the highest total customers but also the highest amount of churn, whilst the Standard subscription has the lowest churn and the highest number of active customers. In 2025, we have similar figures across all plan types, with Premium showing least churn.

Combining this with the previous data relating to the month when churn is most likely to happen, we could assume that, because month 2 had the highest churn rate for Premium customers in 2023 and 2024, there were likely some factors or usage problems that caused an early exit. As month 2 shows very low churn in 2025 and the highest churn coming in month 12, customers are now staying with this plan for longer than previously and we could therefore suggest that the issues were rectified.

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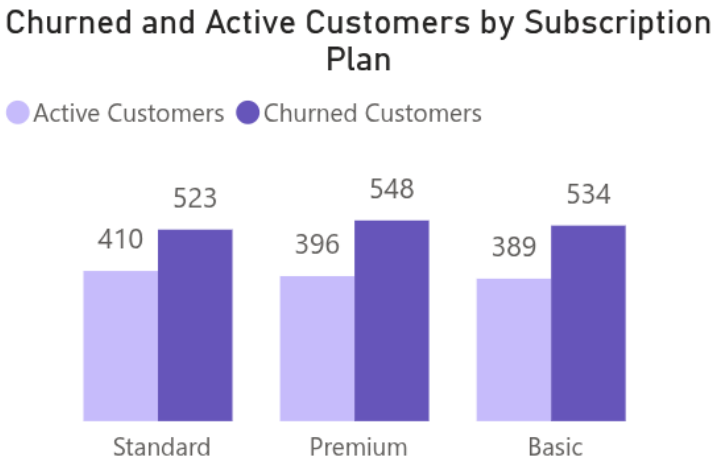
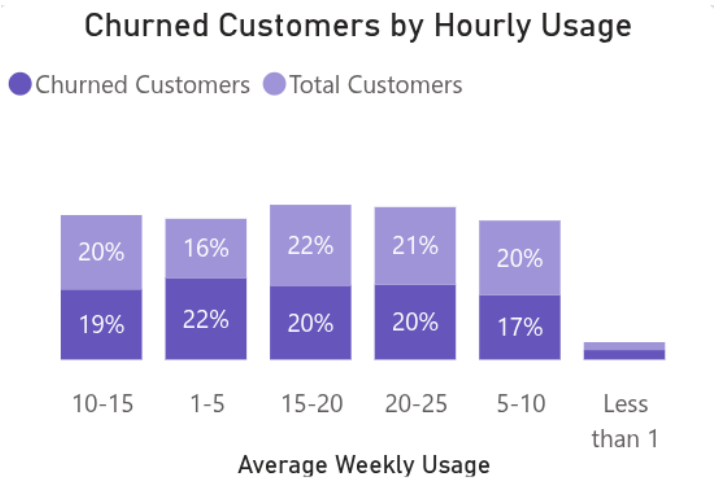


Customers using the service at a weekly average of 1-5 hours show a high percentage of churn. This can also be seen when the data is analysed individually by plan type. However, we can also see that 20% of customers using the service for a weekly average of 15-20 or 20-15% also exit their subscriptions, suggesting that churn occurs most in customers using their subscription less frequently yet there is also a high rate in subscribers with high weekly usage.



Actionable Steps

- The data suggests that customers with 6 or more support tickets leave more frequently, hence fixing technical issues, resolving bugs on the system and quicker IT support such as live chat options could improve user experience
- As subscribers are more likely to leave their subscription at month 11 in 2025, as opposed to month 2 in 2023 and months 3,6 and 9 in 2024, we see that customers are staying in their subscription plan for longer. Early subscription exits could be prevented by introducing offers and promotions on longer/annual subscription plans or an offer on renewal at month 11.
- Low weekly usage also suggests a higher chance of churn, hence encouraging usage through personalised recommendations and a user-specific algorithm could prevent subscription exits.